

Test Yourself

Microeconomics

Demand

Section A

Duration of each question is **40 mins**

1. From 2030, the only new car production allowed in the United Kingdom (UK) will be for electric cars.

Excluding the price of electric cars, explain the determinants of demand for electric cars **and** consider which of these determinants is likely to be of greatest significance at the present time. (8) **q2a/23/M/J/24**

Section B

Duration 30 mins

1. The table shows the demand schedule for textbooks.

price \$	quantity demanded
50	0
40	100
30	200
20	300
10	400
0	500

What can be concluded from this information?

- A** Profit would be maximised at a price of \$30.

B Profit would not change if the price rose from \$20 to \$30.

C Revenue would increase if the price was decreased from \$40 to \$30.

D Revenue would be maximised at a price of \$40.

- 2. Which statement correctly describes the shape of the demand curve for a normal good?

 - A** It shows an inverse relationship between income and quantity demanded.

B It shows an inverse relationship between the price of the good and quantity demanded.

C It shows a positive relationship between the price of the good and quantity demanded.

D It shows a positive relationship between income and quantity demanded.

- 3. What is the definition of effective demand?

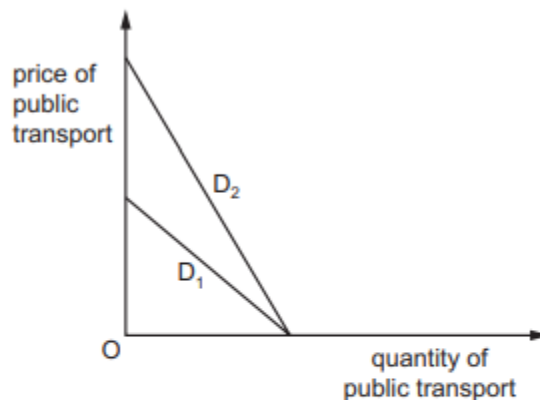
 - A** demand that is speculative

B demand that is supported by the ability to pay

C the relationship between price and quantity demanded

D the total amount demanded by consumers

4. An increase in which factor is likely to cause a shift to the left of the demand curve for cinema movies?
- A expenses for the heating system in the cinema
 - B payments charged by movie scriptwriters
 - C the cost of transport to the cinema
 - D taxes on the incomes of cinema operators
5. Which statement is correct?
- A Demand for an inferior good has a positive relationship to income and a negative relationship to price.
 - B Demand for an inferior good has a negative relationship to income and a negative relationship to price.
 - C Demand for a normal good has a positive relationship to income and a positive relationship to price.
 - D Demand for a normal good has a negative relationship to income and a positive relationship to price.
6. In the diagram, D_1 shows an individual's initial demand curve for public transport.

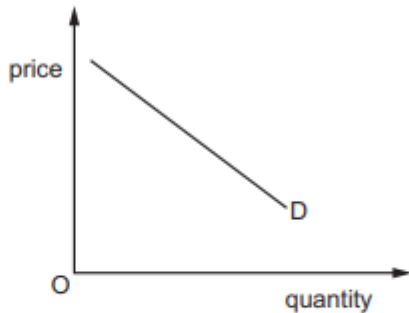


What could cause the demand curve to shift to D_2 ?

- A The costs of running the individual's car fall.
- B The individual is no longer able to drive.
- C The price of public transport falls.
- D The public transport services are reduced.

7. When will the demand curve for motorcycles shift to the left?
- A when the price of cars falls
 - B when the price of motorcycles falls
 - C when the tax on motorcycles rises
 - D when the price of public transport rises

8. The diagram shows the demand curve for housing.



What is **not** assumed to remain constant when drawing this curve?

- A consumer incomes
 - B expectations about future house prices
 - C the price of houses
 - D the rate of interest charged on loans for house purchase
9. Why does an individual's demand curve generally slope downwards to the right?
- A The additional satisfaction an individual gets from consuming most goods decreases as consumption increases.
 - B The additional satisfaction an individual gets from consumption decreases as income rises.
 - C The individual has finite income which is used to attempt to satisfy many wants.
 - D For most goods the price charged by producers falls as the quantity purchased increases.

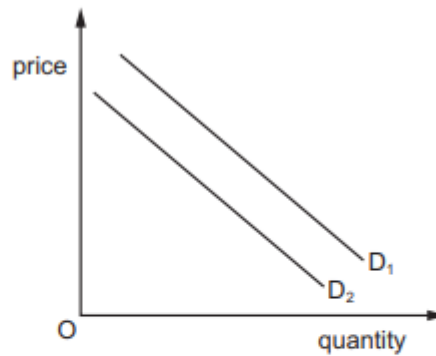
10. Which combination of events is **most** likely to leave the demand curve for a normal good in the same position?
- A a decrease in consumer incomes and an increase in the price of a substitute good
 - B a decrease in consumer incomes and an increase in the price of the good
 - C an increase in consumer incomes and an increase in the price of a substitute good
 - D an increase in consumer incomes and an increase in the price of the good
11. What does the assumption '*ceteris paribus*' mean when economists analyse the way in which the quantity demanded of a good changes?
- A Changes in quantity demanded can cause changes in any of the other variables.
 - B Consumer preferences are always assumed to remain unchanged.
 - C Only one variable is assumed to change while the others remain the same.
 - D Several variables change simultaneously.
12. Demand curves are drawn *ceteris paribus*.
- Which 'other things' are **not** required to remain the same when an individual's demand curve for ice cream is constructed?
- A the consumer's income
 - B the consumer's tastes and preferences
 - C the price of fresh fruit
 - D the price of ice cream
13. How would an economist establish the market demand curve for a private good?
- A by adding consumer surplus to total expenditure
 - B by combining individual demand curves horizontally
 - C by combining the price elasticity of individual demands
 - D by multiplying price by quantity demanded

14. The demand curve for new cars in a country shifted to the left.

Which change could have caused such a shift?

- A an increase in real disposable income
- B an increase in the cost of borrowing
- C an increase in the price of new cars
- D an increase in the price of train travel

15. The diagram shows the demand curve for luxury cars.



The shift in the demand curve D_1 to D_2 can be explained by

- A a decrease in air travel.
- B an increase in advertising by luxury car manufacturers.
- C an increase in income.
- D an increase in the price of petrol.

Marking Scheme

Section A

Question	Answer	Marks
1	From 2030, the only new car production allowed in the United Kingdom (UK) will be for electric cars. Excluding the price of electric cars, explain the determinants of demand for electric cars <u>and</u> consider which of these determinants is likely to be of greatest significance at the present time. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) Knowledge and understanding of income, price and availability of substitutes and fashion, taste and attitudes. For an explanation of what is meant by the role of income, price and availability of substitutes, complements, fashion, taste, and attitudes as determinants of demand. (1x3) AO2 Analysis (max 3 marks) For analysis of the significance at the present time of at least 2 of these determinants. e.g., attitudes may have a great significance because of an increased awareness of the impact on the environment. e.g., income may have a great significance if economies are in recession. e.g., if petrol prices rise leading to a fall in demand for petrol-driven cars then the demand for electric cars may rise. Up to 2 marks for any developed point. AO3 Evaluation (max 2 marks) For a clear consideration which of the determinants is likely to be the most significant at the present time. Reserve 1 mark for a justified conclusion. Please use a text box to show the mark split e.g., 3 2 1	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Section B

1.	C	7.	A	13.	B
2.	B	8.	C	14.	B
3.	B	9.	A	15.	D
4.	C	10.	A		
5.	B	11.	C		
6.	B	12.	D		